

attention to the damn fools predicting the end of the world?

There is a very good explanation: We are wired to see danger and negative news. And our recency bias—our unfortunate tendency to greatly overemphasize our most recent experiences—makes it worse. Our memories of recent events are more vivid than those of older events. We tend to concentrate more on what we can see in the rearview mirror than on what we see through the windshield.

This has enormous consequences. It's why we buy so much stock at euphoric tops and sell most heavily at panic bottoms. Traders have a tendency to describe themselves as bullish *after* they buy; they are more likely to describe themselves as bearish *after* they sell. What happened recently is used as part of a broader rationalization process. It is how you justify your own actions.

The recency effect may help explain the rise of the cranks, who have enjoyed undeserved credibility in the aftermath of the past few recessions. (These include the “End of Days” forecasts Dr. Bernstein wrote about.) Following a collapse, these people can only see doom and gloom in the future. They include:

- **Crisis rock stars** who made their reputations in either the dotcom crash, the GFC, the Flash Crash, or the pandemic, and cannot seem to get back to normal footing.
- **Hyperinflationistas** who are convinced we are returning to the days of the Weimar Republic.
- **Goldbugs** who despite the long-term underperformance of the yellow metal (four decades or so), are convinced now is its time.^{[333](#)}
- **Conspiracy theorists:** From Birthers to Truthers to Anti-Vaxxers to Flat-Earthers, all manner of blithering idiots who would be ignored during normal times draw attention.
- **Austerians:** Those people who believe the only way forward is